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Morning Note
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Tone: Mixed / Rates-Led

Nvidia has its answer on leadership, and the bond market has taken over the tape into PPI. Jensen Huang stepped down as Nvidia CEO on Thursday, with CFO Colette Kress named interim CEO and Harvey C. Jones the company's first independent chairman. The stock fell more than 14% intraday before closing -4.34% at $166.19, and it is +1.8% pre-market per Reuters, so the governance shock is now a known quantity. Rates are not: the 2Y is at 4.86% and the 10Y at 5.12% this morning per WSJ and Bloomberg, 13bp and 14bp above Tuesday's FRED closes, after the cash market reopened Thursday with a soft 30Y auction and a chorus of hawkish Fed speakers. The difference from Tuesday is the mix. Then the move came through real yields; on Thursday the 10Y breakeven rose 4bp to 2.24% as Brent jumped 3.24% to $95.77 on Iran headlines. Index damage was contained, S&P 500 -0.35% to 7,592.40, but the Russell 2000 fell 1.66% and MOVE rose 6.00 to 98.43. At 5:42 AM ET S&P futures were +0.12%, Dow futures +0.21% and Nasdaq 100 futures -0.13%. October PPI at 8:30 AM ET, consensus +0.4% m/m after +1.3%, decides whether 12% odds of a 50bp December hike move higher.

OVERNIGHT MACRO

- **Asia:** Nikkei +0.53% to 61,142.35, Hang Seng -1.55% to 23,637.60, Shanghai Composite -0.59% to 3,634.35, Kospi -1% to 5,290.53, Taiex +1.4%, ASX 200 -0.7% to 9,082.20, per AP and TipRanks. SK Hynix -3% and SoftBank -5.1%, while TSMC rose 0.4% and Tokyo Electron 1.7%. JGBs sold off with Treasuries: Japan 10Y +5.9bp to 2.87% and 30Y +5.8bp to 4.01%, per Bloomberg.
- **Europe:** Stoxx 600 -0.2% to 662.51 at 3:58 AM ET per Reuters, retreating from the record levels it reached earlier this week but still up more than 2% on the week, its best since June. Tech -0.9%, with Infineon and Aixtron about -2%; Richemont -6.5% led luxury down 2%. DAX, CAC 40 and FTSE 100 each -0.1% in early trade per AP. Eurozone Q3 GDP flash at 5:00 AM ET, consensus +0.4% q/q and 1.3% y/y.
- **FX:** Dollar index 103.14 this morning after closing +0.27% at 103.19, a 52 week high. USD/JPY briefly traded through 160 in New York for the first time since September and is near 159.84 to 159.92 this morning, from a 159.79 close; Finance Minister Katayama warned against one sided moves. EUR/USD 1.1066 from a 1.1058 close. Bitcoin fell 3.3% to $69,120, below $70,000 for the first time since August.
- **Commodities:** Brent $95.64 (-0.21%) and WTI $88.18 (-0.59%) around 5:40 AM ET after Thursday closes of $95.77 (+3.24%) and $88.70 (+2.51%). Trump said the U.S. does not need a deal with Iran and Iran said tankers hit mines near Hormuz. Gold near $3,900, +0.6%, after a 2.97% drop to $3,881.70, its lowest since October 2025. Copper closed -1.30% at $6.19/lb.
- **U.S. Futures:** S&P 500 futures +0.12%, Dow futures +0.21%, Nasdaq 100 futures -0.13% at 5:42 AM ET. Pre-market per Reuters: Nvidia +1.8%, Microsoft -2.6% on an Outlook, Teams and Copilot outage of more than 12 hours, AMD and Broadcom more than 2.5% lower, Cerebras more than +16% on a raised forecast. Thursday close: S&P 500 -0.35% to 7,592.40, Nasdaq 100 -0.30% to 28,289.19, Dow -0.36% to 52,297.09, Russell 2000 -1.66% to 2,799.06, VIX +1.21 to 18.70.

RATES & CREDIT SNAPSHOT

Instrument	Level	Move	Note
2Y Treasury	4.86%	+13bp	Friday AM (WSJ) vs Tuesday's 4.73% FRED close. Rose 14.4bp Thursday, largest two day gain since March 2023.
10Y Treasury	5.12%	+14bp	Friday AM (Bloomberg) vs Tuesday's 4.98% FRED close. Back above 5% after Thursday's reopen.
30Y Treasury	5.45%	+10bp	Friday AM vs Tuesday's 5.35% FRED close. 30Y auction bid to cover 2.36 vs 2.54 in October.

Instrument	Level	Move	Note
2s10s	24bp	-1bp	Thursday print (FRED). About 26bp on this morning's levels.
10Y Breakeven	2.24%	+4bp	Thursday print (FRED). Oil is back in the move; it fell 2bp on Tuesday's CPI.

Thursday's reopen after Veterans Day priced two days of news at once: Nvidia's leadership change, a 3.24% jump in Brent and a run of hawkish Fed comments. Williams said inflation is far too high, Daly said her bias is that further tightening will be needed, and Hammack said progress on inflation has really stalled. Demand at the 30Y auction was soft, bid to cover 2.36 against 2.54 in October, and the selloff spread to Japan overnight. The composition matters more than the level. On Tuesday the 10Y breakeven fell 2bp while the 2Y jumped, a credibility trade. On Thursday breakevens rose 4bp to 2.24% alongside oil, so the long end is now carrying inflation risk as well as policy risk. MOVE at 98.43, +6.00, against VIX at 18.70 says rate vol is doing the work. Short rate markets price about 28bp of tightening for December, per Bloomberg.

Meeting	Current Range	Market-Implied	Note
FOMC, Dec 8 to 9	3.75 to 4.00%	25bp fully priced; about 12% 50bp	CME FedWatch per Reuters. Collins, Logan, Bowman, Daly and Jefferson speak today.

Credit: IG OAS at 90bp, -1bp, and HY OAS at 330bp, -4bp (Wednesday close, FRED). Spreads have not yet reflected Thursday's AI infrastructure selloff, with Nebius -16.84%, Super Micro -11.30% and CoreWeave -6.86%, the same complex that drove the Nov 5 HY widening. Watch whether HY holds near 330bp with the 10Y above 5.10%.

COMMODITIES & SECTOR TABLES

Commodity	Level	Chg	Note
Brent Crude	$95.77/bbl	+3.24%	Thursday close; $95.64 around 5:40 AM ET. Trump says no Iran deal needed
WTI Crude	$88.70/bbl	+2.51%	Thursday close; $88.18 around 5:40 AM ET
Gold	$3,881.70/oz	-2.97%	Lowest since October 2025 on real yields and the dollar; near $3,900 this morning
Copper	$6.19/lb	-1.30%	Thursday close; -0.90% over the past week
Nat Gas	$3.36/MMBtu	+4.54%	Thursday close; +14.05% over the past week

Thursday was a defensive split on a down tape. Energy was the only SPDR sector higher, +1.51%, on Brent's 3.24% jump. Materials led the decline at -1.28% as gold and silver fell 2.97% and 3.71%, with Communication -0.96%, Industrials -0.89% and Financials -0.72%. Technology lost only 0.34% despite Nvidia's 4.34% drop because the rest of the chip complex rotated into the gap: AMD rose 5.86% and Broadcom 5.54%. The pain was in AI infrastructure and small caps, with Nebius -16.84%, Super Micro -11.30% and the Russell 2000 -1.66%. After the close Cisco beat and raised, while Applied Materials, -3.58% in the session, guided revenue above estimates.

Sector / Name	Chg	Read
Energy (XLE)	+1.51%	Only sector higher; Brent +3.24%
Materials (XLB)	-1.28%	Worst sector; gold -2.97%, silver -3.71%
Communication (XLC)	-0.96%	Third worst sector
Technology (XLK)	-0.34%	Held up despite Nvidia
Nvidia	-4.34% / +1.8% pre	$166.19; fell more than 14% intraday; about -11% on the week

Sector / Name	Chg	Read
AMD / Broadcom	+5.86% / +5.54%	Rotation beneficiaries; each more than 2.5% lower pre-market
Nebius / Super Micro	-16.84% / -11.30%	AI infrastructure sold hardest
Cisco	+1.24%, about +3 to 4% AH	Q1 revenue $18.5bn vs $18.11bn est; FY27 guide $74.8bn to $75.8bn
Microsoft	-2.6% pre	Outlook, Teams and Copilot outage

EQUITY SETUP

The Nvidia question has narrowed from who runs the company to what the numbers say on Tuesday. Huang's exit removed the uncertainty of an open board process, Kress takes over as interim CEO, and the stock is +1.8% pre-market after a session that saw it down more than 14%. Reuters puts Nvidia's weekly loss near 11%, on track for its longest run of weekly declines since October 2012. Cisco gave the AI capex cycle its strongest support of the week: revenue $18.5bn, +24%, against $18.11bn expected, EPS $1.40 against $1.32, a FY27 revenue guide of $74.8bn to $75.8bn against $73.2bn consensus, and hyperscaler AI infrastructure revenue now seen at $9bn, more than double FY26. Applied Materials guided revenue above estimates.

The constraint is rates, not earnings. With the 10Y at 5.12% and the 2Y at 4.86%, a PPI print at or above the +0.4% consensus keeps December pricing pinned at a full hike with a tail toward 50bp, and Logan at 9:40 AM ET has already argued for faster moves this winter. Small caps took the hit Thursday, Russell 2000 -1.66%, and that is where a hot print would land again. A soft print would favor the chip names that rotated higher Thursday over the AI infrastructure names that carry the most leverage, with Nvidia earnings Nov 17 and Anthropic's IPO, about six times oversubscribed, pricing Nov 18.

ONE THEME

Oil is back in the rates trade. For most of this week the Treasury selloff was a story about the Fed. Tuesday's CPI lifted the 2Y 17bp while the 10Y breakeven fell 2bp, which read as the market trusting the hiking path to contain inflation. Thursday changed the composition. Brent jumped 3.24% to $95.77 as Trump said the U.S. does not need an Iran deal and Iran reported mine strikes near Hormuz, and the 10Y breakeven rose 4bp to 2.24% as the 10Y moved back above 5%. That combination is harder for risk assets than a pure policy repricing, because hikes can reassure on inflation while oil keeps adding to it. It also explains the cross asset tape: gold fell 2.97% to its lowest since October 2025 on real yields and a 52 week high in the dollar, MOVE rose to 98.43, and the yen briefly broke 160. Today's PPI, consensus +0.4% m/m after +1.3% in September, is the next test of whether energy costs are passing through. If they are, the market has to price both more hikes and higher inflation compensation, and the long end stays the weak point.

EVENTS TO WATCH

- **5:00 AM ET Eurozone Q3 GDP flash:** Consensus +0.4% q/q, 1.3% y/y.
- **8:30 AM ET October PPI:** Headline consensus +0.4% m/m after +1.3%; core +0.3% after +0.7%. Dow Jones survey sees 6.6% y/y from 6.3%.
- **9:10 AM ET Fed's Collins:** Boston Fed President. Logan follows at 9:40 AM ET; she has said it may be possible to move more rapidly this winter.
- **10:50 AM ET Fed's Bowman:** Vice Chair for Supervision. Daly at 12:00 PM ET; Jefferson at 7:00 PM ET.
- **Ahead:** Sun 6:50 PM ET Japan Q3 GDP. Tue Nov 17 8:30 AM ET October retail sales; Nvidia reports after the close. Wed Nov 18 2:00 PM ET FOMC minutes; Anthropic prices and lists Nov 19. FOMC decision Dec 9.
- **Key risks:** A hot PPI moving 50bp odds from about 12% toward a coin flip and the 10Y through its recent highs. Further mine strikes or a collapse of Iran talks lifting Brent toward $100. Japanese intervention if USD/JPY holds above 160, which would jolt global yields. Credit catching down to the AI infrastructure equity selloff.